# Rating Advisory

October 31, 2020 | Mumbai

# R&B Denims Limited

**Advisory as on October 31, 2020**

This rating advisory is provided in relation to the rating of R&B Denims Limited

The key rating sensitivity factors for the rating include:

- Working capital management
- Profitability
- Exposure to group companies
- Any large capex plans

CRISIL Ratings has a policy of keeping its accepted ratings under constant and ongoing monitoring and review. Accordingly, it seeks regular updates from companies on business and financial performance. CRISIL is yet to receive adequate information from R&B Denims Limited (RBDL) to enable it to undertake a rating review. CRISIL is taking all possible efforts to get the rated entity to cooperate with its rating process for enabling it to carry out the rating review.

CRISIL views information availability risk as a key factor in its assessment of credit risk. (Please refer to CRISIL Ratings publication dated April 30, 2012 - 'Information Availability - a key risk factor in credit ratings')

If RBDL continues to delay the provisioning of information required by CRISIL to undertake a rating review then, in accordance with circulars SEBI/HO/MIRSD/MIRSD4/CIR/P/2016/119 dt.Nov 1, 2016, SEBI/HO/MIRSD/ MIRSD4/CIR/P/2017/71dt.June 30,2017 and SEBI/HO/MIRSD/CRADT/CIR/P/2020/2 dt January 3, 2020 issued by Securities and Exchange Board of India, CRISIL will carry out the review based on best available information and issue a press release.

**About the company**

Incorporated in 2010, the company is promoted by Rawatkhedia and Borana families and manufactures denim fabric. The manufacturing facility is based in Surat, Gujarat.

*Please note: This advisory should not be construed as a rating reaffirmation.*

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# Rating Rationale

August 08, 2019 | Mumbai

# R&B Denims Limited

*'CRISIL BB+/Stable/CRISIL A4+' assigned to bank debt*

**Rating Action**

| | |
|---|---|
| **Total Bank Loan Facilities Rated** | **Rs.55 Crore** |
| **Long Term Rating** | **CRISIL BB+/Stable (Assigned)** |
| **Short Term Rating** | **CRISIL A4+ (Assigned)** |

*1 crore = 10 million*
*Refer to annexure for Details of Instruments & Bank Facilities*

## Detailed Rationale

CRISIL has assigned its **'CRISIL BB+/Stable/CRISIL A4+'** ratings to the bank facilities of R&B Denims Limited (RBDL).

The ratings reflect the extensive experience of the promoters and the company's moderate financial risk profile. These strengths are partially offset by large working capital requirement, risk of customer concentration, and high term debt obligation.

## Key Rating Drivers & Detailed Description

**Strengths:**

* **Extensive experience of the promoters:** RBDL benefits from the three-decade-long experience of its promoters in the denim industry and healthy relations with customers. Revenue stood at Rs 251 crore and operating margin at 6% in fiscal 2019. RBDL also benefits from backward integration through group companies; this helps meet a significant share of the raw material requirement and ensures smooth, timely, and quality supply.

* **Moderate financial risk profile:** Financial risk profile is moderate: networth and gearing were Rs 40 crore and 1.1 times, respectively, as on March 31, 2019. Debt protection measures are adequate, with interest coverage ratio of 3.6 times in fiscal 2019. However, over a third of the networth is invested in a group entity.

**Weaknesses:**

* **Large working capital requirement:** Operations are working capital-intensive: gross current assets were four months as on March 31, 2019, increasing sharply from around 2 months in previous fiscals.

* **Customer concentration risk:** RBDL derives a significant share of its revenue from specific clients, which exposes it to risks associated with high customer concentration.

* **High term debt obligation:** The company has annual term loan obligations of Rs.8 cr against its accruals of Rs.11-12 cr.

## Liquidity

Liquidity is marked by moderate cash accruals, high term debt obligations, increasing working capital requirements and moderate bank limit utilization. The company has annual repayment of Rs.8 cr which will be covered by annual accruals of Rs. 11-12 cr. The increased working capital intensity meant a sharp rise in working capital requirements for the company. The bank limit utilization was moderate at 51% (of the sanctioned limit of Rs. 35.5 cr) over 12 months to December 2018.

**Outlook: Stable**

CRISIL believes that RBDL's business risk profile will continue to benefit from promoters extensive industry experience and established market presence. The outlook may be revised to 'Positive' if sustained ramp up in revenue and operating profitability, while improving working capital cycle, strengthens the business risk profile. The outlook may be revised to 'Negative' if lower than expected cash accruals or more than expected debt-funded capex or further stretch in working capital cycle or significant increase in exposure to group entities weakens financial risk profile.

**About the Company**

Incorporated in 2010, the company is promoted by Rawatkhedia and Borana families and manufactures denim fabric. The manufacturing facility is based in Surat, Gujarat.

**Key Financial Indicators**

| As on/for the period ended March 31 | Unit | 2019 | 2018 |
|---|---|---|---|
| Operating income | Rs crore | 250.7 | 216.8 |
| Reported profit after tax | Rs crore | 4.7 | 5.46 |
| PAT margin | % | 1.9 | 2.70 |
| Adjusted Debt/Adjusted Networth | Times | 1.1 | 1.20 |
| Interest coverage | Times | 3.62 | 3.14 |

**Any other information:** Not applicable

**Note on complexity levels of the rated instrument:**

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## Annexure - Details of Instrument(s)

| ISIN | Name of instrument | Date of allotment | Coupon rate (%) | Maturity date | Issue size (Rs.Cr) | Rating assigned with outlook |
|---|---|---|---|---|---|---|
| NA | Long Term Loan | NA | NA | Apr-2021 | 11.5 | CRISIL BB+/Stable |
| NA | Letter of Credit | NA | NA | NA | 5 | CRISIL A4+ |
| NA | Bank Guarantee | NA | NA | NA | 3 | CRISIL A4+ |
| NA | Cash Credit | NA | NA | NA | 35.5 | CRISIL BB+/Stable |

## Annexure - Rating History for last 3 Years

| | Current | | | 2019 (History) | | 2018 | | 2017 | | 2016 | | Start of 2016 |
|---|---|---|---|---|---|---|---|---|---|---|---|---|
| Instrument | Type | Outstanding Amount | Rating | Date | Rating | Date | Rating | Date | Rating | Date | Rating | Rating |
| Fund-based Bank Facilities | LT/ST | 47.00 | CRISIL BB+/Stable | | -- | | -- | | -- | | -- | -- |
| Non Fund-based Bank Facilities | LT/ST | 8.00 | CRISIL A4+ | | -- | | -- | | -- | | -- | -- |

*All amounts are in Rs.Cr.*

## Annexure - Details of various bank facilities

| Current facilities | | | Previous facilities | | |
|---|---|---|---|---|---|
| Facility | Amount (Rs.Crore) | Rating | Facility | Amount (Rs.Crore) | Rating |
| Long Term Loan | 11.5 | CRISIL BB+/Stable | -- | 0 | -- |
| Letter of Credit | 5 | CRISIL A4+ | -- | 0 | -- |
| Bank Guarantee | 3 | CRISIL A4+ | -- | 0 | -- |
| Cash Credit | 35.5 | CRISIL BB+/Stable | -- | 0 | -- |
| Total | 55 | -- | Total | 0 | -- |

| Links to related criteria |
|---|
| CRISILs Approach to Financial Ratios |
| CRISILs Bank Loan Ratings - process, scale and default recognition |
| Rating criteria for manufaturing and service sector companies |
| Rating Criteria for Cotton Textile Industry |
| CRISILs Bank Loan Ratings |
| CRISILs Criteria for rating short term debt |
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